Sustainability & Marketing Performance Critique

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DS Smith



Executive Summary



DS Smith's 1.5°C-aligned science-based target and €90 million biomass investment reflect a credible long-term decarbonisation pathway

DS Smith, a leading provider of fibre-based sustainable packaging, is undergoing a significant strategic transition following its 2025 acquisition by International Paper and the planned separation of its EMEA operations by 2026. The company demonstrates strong ESG maturity and continues to position itself as an industry benchmark in circularity, decarbonisation, and sustainable innovation.

A key strength is DS Smith's leadership in the circular economy. Through its "Now and Next" strategy, the company has shifted from incremental environmental initiatives to a fully integrated circular business model. Notable achievements include delivering 100% reusable or recyclable packaging by 2023 and training all 700+ designers in Circular Design Principles. Its Circular Design Metrics further enhance transparency by providing customers with science-based environmental impact data at the design stage.

The company's decarbonisation agenda is equally advanced. DS Smith has set a 1.5°C-aligned science-based target to reduce Scope 1–3 emissions by 46% by 2030 and reach Net Zero by 2050. The publication of its 2024 Net Zero Transition Plan and investments such as the €90 million biomass project at Rouen demonstrate credible long-term commitment.

DS Smith's commercial strategy integrates sustainability as a growth driver rather than a compliance obligation. Its plastic-replacement programme—eliminating 1.2 billion problematic plastic items by 2024—illustrates the commercial viability of circular solutions. Despite temporary data-maturity challenges following the acquisition, reflected in a downgrade from MSCI AA to A, the company maintains strong external validation, including EcoVadis Platinum and CDP A-List ratings.

Overall, DS Smith remains an industry leader, effectively combining circular innovation, transparent metrics, and strategic sustainability-led growth.

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Introduction



DS Smith is a leading provider of fibre-based sustainable packaging solutions, operating an integrated circular business model across Recycling, Paper, and Packaging. Following its 2025 acquisition by International Paper and the planned 2026 separation of its EMEA operations, the company is navigating a period of strategic transition while maintaining its long-standing commitment to sustainability leadership (International Paper, 2025). DS Smith's purpose "Redefining Packaging for a Changing World" positions sustainability as a core driver of innovation, commercial value, and long-term competitiveness (DS Smith, 2024). The company's strategic partnership with the Ellen MacArthur Foundation and its consistent recognition in global benchmarks, including EcoVadis Platinum and CDP A-List ratings, reinforce its reputation as a circularity pioneer (DS Smith, 2024). Circular Economy and Life Cycle Thinking (Session 3), Drivers of Sustainability and ESG Ratings (Session 2-2), Climate Action and the 1.5°C Pathway (Session 1), Sustainability Reporting and Governance (Session 4), Marketing Sustainable Products (Session 7), and Sustainable Supply Chains (Session 6). The analysis synthesizes evidence from DS Smith's sustainability reports (2020–2025), academic literature on packaging sustainability (e.g., Bher & Auras, 2024; Silva & Pålsson, 2022), and industry benchmarks from competitors such as Tetra Pak and Smurfit Westrock. The evaluation framework assesses DS Smith's strategic commitments, ESG progress, marketing effectiveness, competitive positioning, and sustainability maturity. The report concludes with strategic recommendations to strengthen DS Smith's leadership during its transition to an independent EMEA-focused entity.

Sustainability Priorities and Strategic Commitments

Between 2020 and 2025, DS Smith's sustainability agenda was guided by its **"Now and Next"** strategy, which shifted the company from tactical environmental initiatives to a comprehensive circular economy framework (DS Smith, 2021). The strategy emphasized designing out waste, reducing carbon emissions, and regenerating natural systems aligning closely with Circular Economy principles taught in Session 3. A central priority was embedding circularity at the design stage. DS Smith trained all 700+ designers in Circular Design Principles by 2021 and accelerated its target to produce 100% reusable or recyclable packaging from 2025 to 2023, achieving the milestone by 2022 (DS Smith, 2022). The company also led a major plastic-replacement programme, eliminating over 1.2 billion pieces of problem plastic by 2024 (DS Smith, 2024).

Climate action formed the second pillar of DS Smith's commitments. In 2021, the company adopted a 1.5°C-aligned science-based target to reduce Scope 1–3 emissions by 46% by 2030 and achieve Net Zero by 2050 (DS Smith, 2021). Investments such as the €90 million biomass boiler at Rouen and the new recovery boiler at Viana demonstrate a credible decarbonisation pathway (International Paper, 2025). These efforts align with Session 1's emphasis on rapid emissions reductions to meet global climate goals.

Protecting natural resources was another priority. DS Smith maintained 100% recycled or chain-of-custody certified fibre sourcing and funded 100 biodiversity projects across Europe and North America by 2022 (DS Smith, 2022). By 2024, the company began aligning with TNFD and SBTN frameworks to assess nature-related impacts (DS Smith, 2024).

Finally, DS Smith strengthened its social commitments through Vision Zero Harm, community engagement, and human rights due diligence, including 100% Sedex SAQ rollout by 2024. Following the 2025 acquisition, sustainability priorities expanded to harmonise governance across the combined organisation, focusing on climate, pollution, circularity, water, and worker welfare (International Paper, 2025).



ESG Performance Progress Assessment

The 2025 Sustainability Report reflects a year of transition as DS Smith integrated into International Paper while preparing for its 2026 separation. Despite operational disruptions, the company demonstrated meaningful progress across several ESG dimensions. Most notably, legacy DS Smith achieved a 7% absolute reduction in total Scope 1–3 greenhouse gas emissions compared to 2024, driven by major decarbonisation investments such as the biomass boiler at Rouen and the recovery boiler at Viana (International Paper, 2025). These infrastructure upgrades align with DS Smith's science-based target to reduce emissions 46% by 2030 and reflect a proactive approach to long-term decarbonisation.

DS Smith also maintained strong external validation. The company retained its EcoVadis Platinum ratingplacing it in the top 1% of companies globallyand secured a CDP A score for Climate Change, placing it among the top 4% of global respondents (DS Smith, 2024). These achievements reinforce the company's credibility and align with Session 2-2's emphasis on ESG ratings as key drivers of investor confidence and competitive advantage.
Progress was also evident in supply chain governance. Supplier alignment with the Global Supplier Standard increased from 90% to 92% for the EMEA business, reflecting strengthened expectations for responsible sourcing (International Paper, 2025). DS Smith also advanced nature-related disclosures by integrating TNFD-aligned assessments into its reporting, demonstrating leadership in emerging sustainability frameworks.

However, several challenges remain. The most visible is the regression in DS Smith's MSCI rating from AA to A in 2025. While the downgrade is attributed to data maturity gaps during integration, it highlights the vulnerability of ESG ratings to organisational transitions (International Paper, 2025). This aligns with Pucker's (2021) critique that sustainability reporting often overemphasises disclosure rather than impact, creating a "reporting-progress gap."

Operationally, DS Smith experienced production downtime due to site rationalisations and planned maintenance, which temporarily affected output. Additionally, the combined organisation acknowledged inconsistencies in non-energy data collection across non-mill sites, underscoring the need for improved data governance (International Paper, 2025). These gaps pose risks to future reporting accuracy and may hinder progress toward science-based targets if not addressed Strategically, the upcoming 2026 separation introduces uncertainty. Both the legacy DS Smith EMEA business and the North American operations are developing independent sustainability roadmaps, which may temporarily dilute strategic focus. Ensuring continuity of the "Now and Next" strategy will be essential for maintaining momentum.

Overall, DS Smith's ESG performance in 2025 demonstrates resilience and continued leadership despite integration challenges. The company's strong decarbonisation progress, external ratings, and governance enhancements reflect a mature sustainability programme. However, addressing data maturity gaps, stabilising ESG ratings, and ensuring strategic continuity during the separation will be critical to sustaining long-term performance.



Sustainability Credentials and Marketing Effectiveness

DS Smith has effectively positioned sustainability as a core element of its brand identity and commercial strategy. Consistent with Session 7's framework on marketing sustainable products, the company operates as a purpose-driven brand anchored in its mission to "Redefine Packaging for a Changing World" (DS Smith, 2024). This purpose is not merely rhetorical; it guides product innovation, customer engagement, and talent attraction. By embedding circularity across its operations, DS Smith markets itself as a strategic partner rather than a commodity packaging supplier.

The company's marketing approach aligns closely with the "Resonance Playbook," which emphasises delivering superior performance with sustainability as an added benefit. DS Smith's case studiessuch as its collaboration with Zalando to eliminate plastic, reduce logistics costs, and remove 200 trucks from the roaddemonstrate how sustainability can drive operational efficiency and commercial value (DS Smith, 2024). This approach appeals to diverse customer segments, including sustainability-driven "Greens," pragmatic "Blues," and cost-focused "Greys."

To bridge the Intention-Action Gap identified in Session 7, DS Smith deploys Circular Design Metrics, a tool that provides customers with science-based environmental impact data at the design stage. By quantifying indicators such as recyclability and carbon footprint, the company shifts sustainability from a moral appeal to a rational, data-driven decision factor. This reduces the risk of greenwashing and empowers customers to make informed choices.

DS Smith also leverages ESG ratings as "social proof," prominently featuring its EcoVadis Platinum, MSCI, and CDP scores in marketing materials. Independent assurance from Deloitte and Bureau Veritas further strengthens credibility. Additionally, the company uses social influence by showcasing partnerships with major brands such as Nestlé and Asda, reinforcing its leadership position.

Overall, DS Smith's marketing strategy effectively integrates sustainability into value creation, customer engagement, and brand differentiation.



Industry Benchmarking and External Evidence

DS Smith operates in a competitive landscape where sustainability performance is increasingly central to differentiation. Compared to peers such as Tetra Pak, Mondi, and Smurfit Westrock, DS Smith maintains a strong leadership position in circularity, transparency, and ESG performance. Its EcoVadis Platinum rating and CDP A score place it among the top performers in the global packaging sector (DS Smith, 2024).

In flexible packaging sustainability, academic research highlights significant challenges due to multilayered structures that hinder recyclability (Farrukh et al., 2022). DS Smith addresses this issue through a displacement strategy, replacing problem plastics with fibre-based alternatives. The company's achievement of eliminating 1.2 billion plastic items since 2020 demonstrates meaningful progress (DS Smith, 2024). In contrast, Tetra Pak focuses on innovating within flexible aseptic structures, investing €100 million annually to develop paper-based barriers that reduce carbon intensity (Tetra Pak, 2025). While DS Smith excels in corrugated circularity, Tetra Pak leads in food-grade flexible packaging innovation.

Life Cycle Assessment (LCA) research shows that environmental performance varies by system boundary, with aseptic cartons often demonstrating lower GHG emissions in meta-analyses (Bher & Auras, 2024). DS Smith addresses this complexity through Circular Design Metrics, which use industry-average LCA data to guide customer decisions. Smurfit Westrock employs similar tools, such as SupplySmart and InnoTools, to optimise packaging performance across supply chains (Smurfit Westrock, 2025). In industrial packaging, research indicates that companies often prioritise recycling over reduction or reuse, despite the latter offering greater circularity benefits (Silva & Pålsson, 2022). DS Smith differentiates itself by emphasising Total Cost of Ownership and supply chain optimisation. Case studies demonstrate that improved packaging design can reduce transport emissions and eliminate unnecessary materials, aligning with Session 6's focus on sustainable supply chains.

However, DS Smith faces competitive pressure from the newly merged Smurfit Westrock, which now operates a large global footprint across 40 countries. While DS Smith's vertically integrated model enables rapid loop closurerecycling cardboard in 14 daysits regional scale may be challenged by Smurfit Westrock's expanded capabilities.
Overall, DS Smith remains a benchmark for circular design and plastic replacement, though competitors lead in specific segments such as aseptic packaging and global scale.



Competitve Standing

Feature	DS Smith	Tetra Pak	Smurfit Westrock
Strategic Focus	*Plastic replacement with fiber-based corrugated.*	*Low-carbon aseptic cartons with paper barriers.*	*Massive scale and vertical integration post-merger.*
Sustainability Tool	*Circular Design Metrics for immediate customer insight.*	*Aseptic cartons proven via meta-study LCAs.*	*SupplySmart and InnoTools for supply chain efficiency.*
Key Achievement	*1.2 billion pieces of plastic avoided since 2020.*	*1.3 million tonnes of cartons recycled in 2025.*	*Over 100 industry awards for innovation and design in 2025.*
Main Challenge	*Integration with International Paper and 2026 split.*	*Complexity of recycling multilayered flexible structures.*	*Harmonizing priorities across a massive, combined 40-country footprint.*



ESG Performance and Sustainability Maturity Assessment

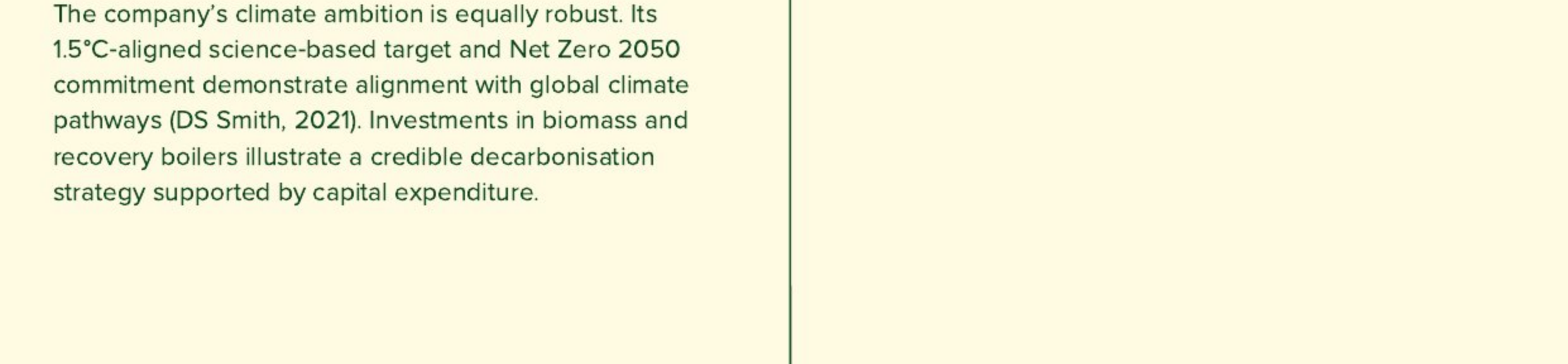
DS Smith demonstrates a high level of sustainability maturity, characterised by strategic depth, external validation, and operational integration. The company consistently ranks among the top performers in global ESG benchmarks, maintaining EcoVadis Platinum status and achieving CDP A scores for Climate Change (DS Smith, 2024). These ratings serve as strong indicators of leadership and align with Session 2-2's emphasis on ESG as a driver of investor trust and competitive advantage.

Strategically, DS Smith's "Now and Next" framework reflects a forward-looking approach that anticipates future regulatory, environmental, and market shifts. Unlike competitors that focus primarily on recycling rates, DS Smith embeds circularity at the design stage, training 700+ designers in Circular Design Principles and deploying Circular Design Metrics to guide customer decisions (DS Smith, 2022). This aligns with Session 3's emphasis on life cycle thinking and systemic circularity.

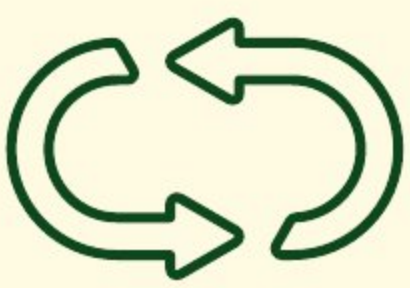
The company's climate ambition is equally robust. Its 1.5°C-aligned science-based target and Net Zero 2050 commitment demonstrate alignment with global climate pathways (DS Smith, 2021). Investments in biomass and recovery boilers illustrate a credible decarbonisation strategy supported by capital expenditure.

However, DS Smith faces challenges consistent with Pucker's (2021) critique of sustainability reporting. While the company reports strong progress, production increased by 8% in earlier years, raising questions about the decoupling of growth from emissions. The 2025 MSCI downgrade further highlights the vulnerability of ESG ratings to organisational transitions (International Paper, 2025).

Despite these challenges, DS Smith's sustainability maturity remains high. Its integrated circular model, strong governance structures, and transparent reporting position it as a leader shaping industry standards. Continued focus on absolute impact, data governance, and Scope 3 transparency will be essential to maintaining this leadership.

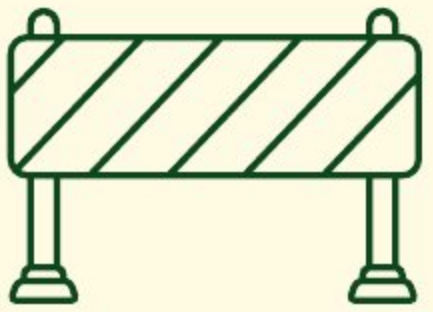


Strategic Recommendations



Shift from “Closing Loops” to “Slowing Loops

While DS Smith excels in recycling, research shows that reuse and reduction offer greater circularity benefits (Silva & Pålsson, 2022). The company should expand pilots in reusable e-commerce packaging and explore “uberisation of waste” models to create closed-loop reuse systems. This aligns with Session 3’s emphasis on slowing resource flows.



Bridge the Reporting-Impact Gap.

The MSCI downgrade highlights the need for improved data maturity. DS Smith should prioritise absolute emissions reductions, particularly Scope 3, and enhance data governance across non-mill sites. This aligns with Pucker’s (2021) critique and Session 4’s focus on credible reporting.



Deploy Dialogic Technologies for Supplier Engagement

Traditional compliance-based supplier monitoring is insufficient for complex Scope 3 challenges. DS Smith should adopt dialogic technologiessuch as shared digital platforms and learning academiesto build supplier capability in Product Carbon Footprints (McGrath et al., 2021). This supports Session 6’s emphasis on collaborative supply chains.



Strengthen the Resonance Playbook Across the Buying Center

DS Smith should market Circular Design Metrics not only to procurement but also to R&D, Finance, and Marketing teams within customer organisations. Demonstrating cost savings, risk reduction, and sales uplift will bridge the Intention-Action Gap (Session 7).

Strategic Recommendations



Lead Consumer Behaviour Change

To address “wishcycling,” DS Smith should use packaging as a communication tool to nudge correct disposal behaviours. Clear instructions and behavioural cues can reduce contamination and improve recycling outcomes.



Maintain Strategic Continuity Post-Separation

As DS Smith transitions to an independent EMEA entity, it should reaffirm the “Now and Next” strategy and ensure continuity in circularity, climate, and nature commitments.



Conclusion

DS Smith remains one of the most advanced sustainability leaders in the global packaging industry. Its integrated circular business model, strong ESG ratings, and science-based climate commitments demonstrate a high level of maturity and strategic coherence. The company's ability to embed circularity at the design stage, deploy transparent metrics, and deliver commercially viable plastic-replacement solutions positions it as a benchmark for sustainable packaging innovation.

Despite the challenges associated with the 2025 acquisition and upcoming 2026 separation, DS Smith has maintained strong performance across emissions reduction, supply chain governance, and external validation. However, the MSCI downgrade and data maturity gaps highlight the need for strengthened impact measurement and reporting systems. Competitively, DS Smith leads in corrugated circularity but faces pressure from Tetra Pak in aseptic innovation and Smurfit Westrock in global scale.

To sustain its leadership, DS Smith must prioritise reuse-based models, enhance Scope 3 transparency, and deepen customer engagement through data-driven tools. By maintaining strategic continuity and focusing on absolute impact, the company can continue to redefine packaging for a changing world and shape the future of circular, low-carbon value chains.



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